Allenhouse Business School

Online Preparatory Test

BUSINESS FINANCE

Time: 90 Min | **Maximum Marks: 30**

Course: BBA-III Sem _____ | **Date: 30-09-2026**

SECTION A (4 × 3 = 12 Marks)

Q1. Define Capital Budgeting. Explain any two reasons why it is important. **[3]**

Q2. Explain Time Value of Money. Using the PVF table, find the present value of ₹50,000 receivable after 3 years at 10%. **[3]**

Q3. An investment of ₹1,00,000 generates the following cash inflows. Calculate the Payback Period. **[3]**

Year	Cash Inflow (₹)
1	30,000
2	40,000
3	40,000
4	30,000
5	20,000

Q4. A machine costs ₹1,20,000 with a scrap value of ₹20,000 and a life of 4 years. The Profit After Tax for the four years is given below. Calculate the Accounting Rate of Return (ARR) on average investment. **[3]**

Year	Profit After Tax (₹)
1	20,000
2	25,000
3	30,000
4	25,000

SECTION B (3 × 6 = 18 Marks)

Q5. Explain the NPV and IRR methods with their decision rules. State one advantage and one limitation of each. **[6]**

Q6. Project X costs ₹2,00,000 and has a life of 4 years. The cost of capital is 10%. The expected cash inflows are: **[6]**

Year	Cash Inflow (₹)
1	80,000
2	90,000
3	70,000
4	60,000

(a) Calculate the Net Present Value (NPV). [4]

(b) Calculate the Profitability Index and advise on acceptance of the project. [2]

Q7. Shree Ltd. has the following capital structure: **[6]**

Source of Capital	Amount / Cost
Equity Share Capital	₹5,00,000
12% Preference Shares	₹2,00,000
10% Debentures (before tax)	₹3,00,000

Additional information: Risk-free rate (R_f) = 7%; Market return (R_m) = 13%; Beta (β) = 1.5; Tax rate = 30%.

(a) Find the cost of equity using CAPM. [2]

(b) Find the after-tax cost of debt. [1]

(c) Calculate the Weighted Average Cost of Capital (WACC). [3]

Present Value Factor (PVF) Table at 10%

Year 1	Year 2	Year 3	Year 4
0.909	0.826	0.751	0.683